

URUGUAY, MERCOSUR, AND PRICES

How the Bloc's Trade Architecture Shapes Uruguayan Economy

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KEY MESSAGES - Mercosur's common external tariff of 11.3% -- more than double the world average -- is one of the primary reasons import prices remain high in Uruguay. - Intra-bloc trade has consistently underdelivered, falling below pre-2008 levels and leaving Uruguayan consumers exposed to protection costs without the full gains of regional integration. - The EU-Mercosur Free Trade Agreement, now concluded after more than two decades of negotiation, is projected to raise real household incomes by 1.1% and increase wages by around 1.83%, but will require active domestic adjustment policy to spread these gains equitably. - Uruguay's small share of Mercosur's total GDP -- less than 4% -- makes the case for greater bilateral trade flexibility within the bloc both economically sound and institutionally underexplored.

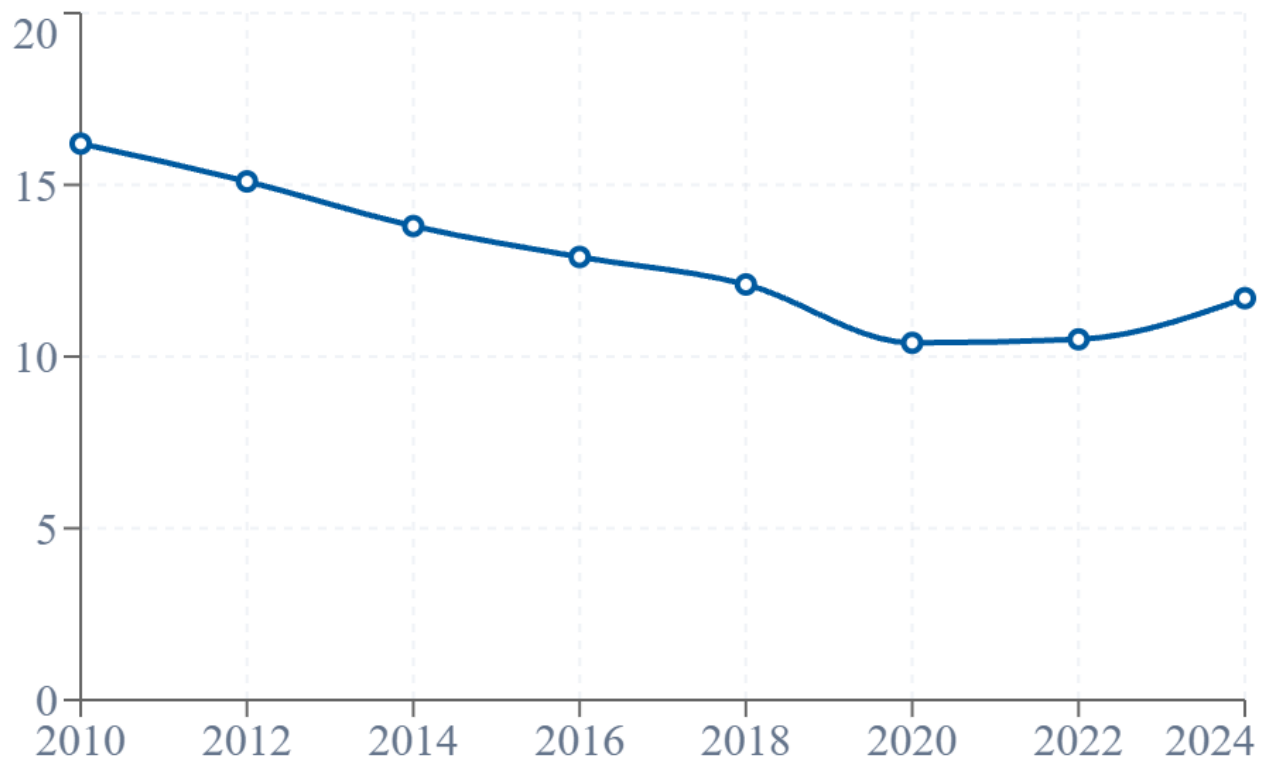
URUGUAY'S POSITION IN MERCOSUR

Uruguay has been a founding member of the Southern Common Market (Mercosur) since 1991, alongside Argentina, Brazil, Paraguay, and Venezuela. The bloc was built on the logic of import-substitution at regional scale: a common external tariff would shield member-state producers from global competition while intra-regional trade would grow to compensate. Over three decades on, that bargain has served Uruguay unevenly.

The GDP of Uruguay represents less than 4% of Mercosur's total output. Brazil alone accounts for the vast majority of the bloc's economic weight. This asymmetry means that the tariff levels and negotiating postures that make political sense for Brazil's large industrial base impose costs on Uruguay that a smaller, more open economy would not otherwise choose to bear.

Intra-Mercosur trade accounts for approximately 11-14% of the bloc's total trade -- though this has trended downward since the early 2010s, as shown in Figure 1. China has overtaken Mercosur as Uruguay's single most important export destination.

Figure 1. Mercosur Intra-Bloc Trade as Share of Total Exports (% , selected years)

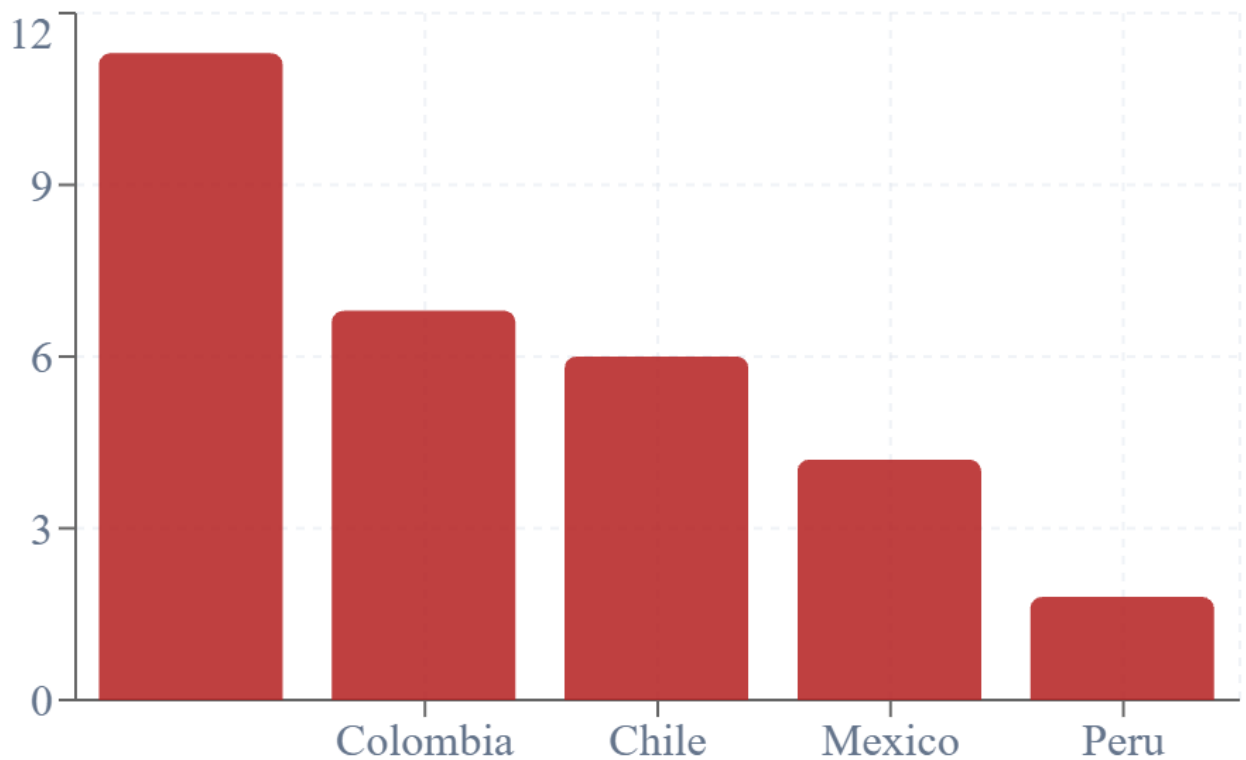


Source: ECLAC, GlobalEdge/MSU, World Bank staff estimates. Figures for 2023-2024 are preliminary.

EXTERNAL TARIFFS: A PRICE FLOOR ON IMPORTS

The Common External Tariff (CET) is the mechanism through which Mercosur membership most directly affects what Uruguayan households and firms pay. Set at a simple average of 11.3% across all product categories, the CET is more than double the global average. It also sits well above the tariff rates charged by nearly every other major economy in the region. As Figure 2 shows, Peru, Mexico, Chile, and Colombia all apply tariffs that are a fraction of Mercosur's rate.

Figure 2. Applied Tariff Rates: Mercosur CET vs. Selected Latin American Economies (% , 2022)



Source: World Bank, WITS (2022). First bar denotes Mercosur CET applied to all member-state imports from non-bloc partners.

For Uruguay, this protection imposes a high cost. Every percentage point of tariff on an imported input translates into higher production costs for Uruguayan firms and higher final prices for consumers. Lower-income households, who allocate a greater share of expenditure to tradeable goods, bear a disproportionate share of this burden. The CET was designed to protect a regional industrial base dominated by Brazilian and Argentine manufacturers. Uruguay's own producers gain limited shelter from it. With limited bargaining power, Uruguayan buyers pay the price.

Non-tariff barriers compound this effect. World Bank analysis identifies Mercosur as carrying a significantly higher burden of NTBs than comparable Latin American trade arrangements -- including divergent technical standards, customs bottlenecks, and port inefficiencies that add to the landed cost of traded goods on both sides of the border.

THE EU-MERCOSUR AGREEMENT & PROJECTED PRICE EFFECTS

The recent agreement concluded between Mercosur and the European Union, after negotiations spanning more than two decades, represents the most consequential change to Uruguay's trade framework since the bloc's founding. Its effects on prices are projected to be substantial and broadly beneficial for consumers, though they come with sectoral adjustment costs that require active policy management.

Uruguay's effective tariff on EU imports is projected to fall from approximately 9% to around 1.2% over a 15-year implementation timeline. That reduction flows directly into the cost of goods sourced from Europe, such as capital equipment, pharmaceuticals, processed foods, and consumer goods. This lowers prices across a wide range of product categories. Combined with increased competitive pressure on domestic and regional producers, the overall consumer welfare gain is estimated at 1.1% of real household income. Wages for both skilled and unskilled workers are projected to rise by approximately 1.83% as export activity expands, increasing purchasing power and reinforcing gains from lower import costs.

Source: World Bank, Uruguay: Assessment of the EU-Mercosur Trade Agreement (2023). Export-to-EU growth figure reflects real terms projection through 2040.

The agricultural food sector -- bovine meat, wheat, oilseeds, animal products -- stands to gain the most on the export side, with production expected to expand by around 1% as preferential EU market access opens new demand. Non-food manufacturing, by contrast, faces contraction of approximately 0.5% as European competition intensifies in sectors where Uruguayan producers currently benefit from CET protection. Dairy, motor vehicles, and mineral products may also see output reductions.

These distributional asymmetries are not an argument against the agreement. They are an argument for accompanying it with deliberate adjustment policy -- otherwise, the households who gain most from lower consumer prices may not be the same workers who bear the costs of sectoral contraction.

THE JOINT NEGOTIATION CONSTRAINT

Mercosur's rule requiring collective external trade negotiation has been, for Uruguay, a persistent source of friction. Under this framework, a Uruguayan bilateral free trade agreement with China, the United States, or any other extra-regional partner would require bloc-wide consent -- a threshold that Argentina's and Brazil's larger and more protection-sensitive industrial bases have historically made difficult to reach.

Yet a Uruguayan bilateral FTA with China would pose negligible systemic risk to the bloc while generating meaningful gains for Uruguay's exporters and consumers. China has already overtaken Mercosur as Uruguay's primary export destination, making the absence of a preferential trading arrangement with Beijing an increasingly costly omission. Greater flexibility, through structured waiver mechanisms, as World Bank research has proposed, would allow Uruguay to negotiate where the gains are greatest without formally dismantling the customs union.

POLICY IMPLICATIONS

Three areas warrant priority attention from Uruguayan policymakers and their counterparts in multilateral institutions.

Use the EU-Mercosur agreement as leverage for CET reform. The precedent set by agreeing to substantially reduce tariffs on EU goods creates a basis for reopening internal Mercosur discussions about the CET level on industrial inputs and consumer goods. Categories where protection generates near-zero productive benefit in Uruguay and where the gap between the CET and world prices is widest are the natural starting point.

Build adjustment capacity ahead of tariff phase-ins. The 15-year implementation timeline grants an opportunity to plan. Active labor market programs, retraining incentives, and income support targeted at workers in import-competing manufacturing sectors should be designed and funded now, not after displacement has occurred.

Push for a structured bilateral negotiation framework within Mercosur. The joint negotiation rule, as currently applied, imposes a cost on Uruguay that is not proportionate to the bloc protection it provides. A formal waiver or opt-in mechanism allowing smaller members to pursue bilateral agreements subject to transparency and reciprocity conditions would be a durable reform that serves Uruguay's interests without requiring Argentina or Brazil to abandon their own trade policy preferences.

Sources: World Bank, "Issues and Options for a Member of a Customs Union to Bilaterally Negotiate FTAs: A Practical Application to the Case of MERCOSUR" (2022); World Bank, "Uruguay: Assessment of the EU-Mercosur Trade Agreement" (2023); World Bank Open Data Blog, "What are Trade Blocs and How do Two of Latin America's Largest Compare?" (2015); ECLAC Trade Data (2021); WITS Tariff Database (2022).

Author's Note: These policy briefs were prepared independently by Maya Chelle. The author is not a professional policy analyst and has no affiliation with the World Bank Group, the United Nations, or any other institution referenced herein. The format and structure draw inspiration from World Bank and UN DESA policy publications. Charts were produced by inputting real, publicly available data into Excel, then better formatted using AI language model (Claude, Anthropic); all data, analysis, and conclusions have been reviewed and verified by the author. The views expressed are the author's own.